Build Steps

Part 1 of 5 · Set up your agent in the new builder

1 Create your agent

Open Copilot Studio (copilotstudio.microsoft.com), select **Create**, then **New agent**. In the redesigned builder everything lives under the **Build** tab, with a settings panel down the right. Set:

Agent name Finance & Budget Copilot
Description Cost centre owners and finance partners review budget, actuals, variances, and submit variance explanations in conversation.
Solution / Environment Finance Solution · Default environment
Icon Use a recognisable colour and emoji, or upload a brand icon

2 Choose your model

Open the **Model** selector at the top of the right-hand panel. Copilot Studio now lets you pick the model your agent reasons with. This build uses **Claude Sonnet 4.6**; you can switch later without rebuilding.

Reasoning is built in

- The agent reasons over your instructions, knowledge, skills and tools, and decides what to do each turn
- Handles paraphrases, multi-step asks and follow-ups
- Blends a knowledge lookup with a tool call in one reply
- Calls the right skill when intent matches

Choosing a model

- Claude Sonnet 4.6: strong reasoning, a good default here
- Lighter models: lower latency and cost for simple, high-volume flows
- Switch the model and re-run the same evaluation set to compare
- Check data residency and model availability for your tenant

3 Write your instructions

The **Instructions** box is the heart of the Build tab. Define the agent's role, audiences and rules here. The agent reasons over these together with everything in the right-hand panel. Paste:

You are the Finance & Budget Copilot. You help two audiences:
1) Cost centre owners reviewing their own spend.
2) Finance business partners reviewing a portfolio.

Rules:
- Use the uploaded budget data as your single source of truth.
- For variance, calculate Actual minus Budget, and (Actual minus Budget) / Budget.
- For variance explanations, call the 'Submit Variance Note' tool.
- Highlight Over Budget cost centres and largest absolute variances first.
- Never expose another cost centre's numbers to an owner who does not own it.

Build Steps

Part 2 of 5 · Ground it in your data

4 Add Knowledge

Open **Knowledge** in the panel, select **Add knowledge**, then **File**, and upload **Finance_Budget_Data.xlsx**. Knowledge gives the agent trusted context to guide its answers. This file contains:

- Cost centre details (code, department, category, owner)
- Financial data (budget, actual, variance amount and percentage)
- Status (On Track, Over Budget, Under Budget)
- Forecast (full-year projection and commentary)

Layer more sources later: SharePoint sites, Dataverse, Microsoft Graph connectors, or public web.

5 Bring in Microsoft IQ

Open **Microsoft IQ** in the panel. Microsoft IQ brings in work context, business data and app signals from across your tenant, so the agent grounds answers in more than the file you uploaded.

For this agent, Microsoft IQ resolves the cost centre owner's identity and reporting line from the org graph, and surfaces related approvals sitting in their Outlook, so the variance context the agent shows is current rather than a static snapshot. Microsoft IQ honours each user's existing permissions, so the agent only surfaces what the signed-in user is already allowed to see.

Build Steps

Part 3 of 5 · Give it skills and tools

6 Add a Skill

Open **Skills** in the panel, then **Add a skill**. A skill defines a reusable behaviour through structured instructions. It is the new home for the conversational flows you used to build as topics: the agent calls the skill when a user's intent matches.

Skill name: Submit Variance Explanation
Description: Captures an explanation for an over-budget cost centre and logs it against the period for month-end review.
When to use it (intent hints the agent reasons over):

- Explain my variance on CC400
- I want to comment on the marketing variance
- Submit a variance note
- Log a reason for being over budget

Structured steps:

- Identify the cost centre and quarter
- Show the current variance amount and percentage from knowledge
- Ask for: driver, mitigation plan, one-time vs ongoing
- Call the 'Submit Variance Note' tool with the collected inputs
- Confirm submission and offer to notify the FP&A team in Teams

7 Add a Tool

Open **Tools**, then **Add a tool**. **Skills decide what to do; tools take the action.** A tool is a typed, callable action with named inputs and outputs that the model fills from the conversation. Choose one of: a **prebuilt connector** (Outlook, Teams, SharePoint, Dataverse, ServiceNow and more), a **Power Automate cloud flow**, a **custom HTTP request**, or a **Model Context Protocol (MCP) server**. This build uses a Power Automate flow because it does three things in one call: log the variance note, notify FP&A, and return a record ID.

Tool name: Submit Variance Note
Type: Power Automate flow that writes to a SharePoint list 'Variance Notes' and posts a Teams adaptive card to the FP&A review channel
Description (the model reads this to decide when to call): Logs a structured variance explanation and notifies FP&A. Use when an owner explains an over-budget cost centre.
Inputs the agent collects or infers:

- costCentreCode — text, e.g. CC400
- quarter — text, e.g. Q3 FY26
- driver — text, the reason for the variance in the owner's own words
- mitigationPlan — text, the corrective action
- varianceType — text, one of One-time / Ongoing

Outputs returned to the agent:

- recordId — text, e.g. VN-20260608-0312
- status — text, e.g. Logged
- channelPosted — yes/no

7.1 · Build the cloud flow that does the work

From inside Copilot Studio choose **Tools > Add a tool > New > Power Automate**. This opens the flow designer pre-wired with the Copilot Studio trigger and, crucially, keeps the flow in the **same environment** as your agent (Finance Solution · Default). An environment mismatch is the most common reason a finished tool never appears in the picker, so confirm the environment switcher (top-right) before you build.

Trigger — *When an agent calls the flow*. Add five text input parameters, named exactly: `costCentreCode`, `quarter`, `driver`, `mitigationPlan`, `varianceType`.

– **Action 1 – generate the record ID.** Add *Initialize variable* `recordId` = `concat('VN-', formatDateTime(utcNow(),'yyyyMMdd'), '-', rand(100,999))`. (Or let Dataverse / SharePoint return the ID instead.)
– **Action 2 – write the note.** SharePoint *Create item* (or Dataverse *Add a new row*) into the **Variance Notes** list. Map: Title = recordId, CostCentre = costCentreCode, Quarter = quarter, Driver = driver, Mitigation = mitigationPlan, Type = varianceType, Status = 'Logged'.
– **Action 3 – notify FP&A.** Microsoft Teams *Post card in a chat or channel* to the FP&A review channel, using an adaptive card that shows the record ID, cost centre, quarter, driver and mitigation plan.
– **Final action – return to the agent.** Add *Respond to the agent* (Return value(s) to Copilot Studio) with outputs recordId = `variables('recordId')`, status = 'Logged', channelPosted = true.
– **Save** the flow as `Finance – Submit Variance Note`.

7.2 · Register and map the tool in your agent

> – Back in Copilot Studio the flow is attached automatically; if you built it separately, **Tools > Add a tool > Flows** and select it.
> – Set the display name to **Submit Variance Note** and write the **Description** for the model — it is what the agent reads to decide when to call the tool.
> – For each input set **Fill using**: costCentreCode and quarter → *dynamically* from the conversation context; driver, mitigationPlan and varianceType → **Fill with AI**, and add an input description so the model extracts the right value (for varianceType, list One-time/Ongoing and what each means).
> – Confirm `recordId` is returned to the agent so the skill can read it back — letting it confirm the note was logged rather than just claiming it was.
> – **Connection & auth:** set the SharePoint and Teams connections the flow uses. The connectors chosen here are exactly what your DLP policy must permit (see Step 10).

7.3 · Worked example — what flows in and out

When an owner says *“explain CC400's variance — Q3 spend was pulled forward”*, the model fills the inputs and calls the tool with this payload:

```
{
  "costCentreCode":  "CC400",
  "quarter":         "Q3 FY26",
  "driver":          "Q3 marketing spend pulled forward into Q2",
  "mitigationPlan":  "Re-phase remaining Q3 budget; freeze new commitments",
  "varianceType":    "One-time"
}
```

The flow writes the row, posts the card, and returns:

```
{
  "recordId":      "VN-20260608-0312",
  "status":        "Logged",
  "channelPosted": true
}
```

The agent then replies in natural language, quoting the real record ID: *“I've logged variance note VN-20260608-0312 for CC400 (Q3 FY26, one-time) and notified the FP&A review channel.”*

7.4 · Test the tool before you trust it

– **In isolation:** open the flow in Power Automate, choose *Test > Manually*, supply the five inputs, run it, and confirm a row appears in the Variance Notes list, a card posts to the channel, and the run returns all three outputs.
– **End to end:** in **Preview** (Step 11) type “submit a variance note for CC400, driver was pulled-forward Q3 spend” and check the activity view shows Submit Variance Note firing with the inputs the model inferred and the record ID it read back.

Build Steps

Part 4 of 5 · Extend, remember and govern

8 Add Connected agents

Open **Connected agents**. A connected agent lets this agent collaborate with others, delegating specialist work and sharing context across them (agent-to-agent). Keep each agent focused on what it does best.

Connect a **Procurement Agent** that holds open purchase orders and commitments. The budget agent can then explain a variance with committed-but-unspent detail, rather than actuals alone.

9 Turn on Memory

Toggle **Memory** on. Memory lets the agent remember interactions, workflows and context across sessions, so returning users do not have to repeat themselves. For this agent it remembers:

- The cost centres the user owns, so the agent opens on the right portfolio
- The periods they usually review and notes they have already filed

Memory is scoped to each user and follows your retention and DLP policy. Review what the agent retains before you publish.

10 Govern your agent

Open the agent settings and lock these down before real users arrive:

Authentication: use *Authenticate with Microsoft (Entra)* so the agent runs as the signed-in user and inherits their permissions.
Content moderation: set the moderation level (start at Medium) and review it for your audience.
Data loss prevention: confirm your DLP policy covers every connector your tools use — for Submit Variance Note that means the SharePoint and Teams connectors must sit in the same DLP group, or the tool is blocked at runtime.
Channels and access: review which channels are enabled and who can use the agent.

Build Steps

Part 5 of 5 · Preview, evaluate and publish

11 Preview your agent

Switch to the **Preview** tab to chat with your agent as you build. Open the **activity view** on any response to inspect:

- Which skill, tool or knowledge source fired, and in what order
- The inputs the agent collected and the exact payload each tool returned
- Citations linking each answer back to a row of your data
- Latency per step, useful when tuning multi-tool flows

12 Evaluate

Open the **Evaluate** tab, then **New evaluation**. Build a test set so you can measure quality before and after every change. Score each response on **groundedness** (did it stay inside the knowledge), **relevance** (did it address the question), and **accuracy** (did it match the expected outcome).

> **Test set:** Finance & Budget Copilot · Baseline v1
> **Input:** Which of my cost centres are over budget?
> **Expect:** Returns only cost centres owned by the authenticated user.
> **Input:** Show total budget vs actual by department for Q2 FY26
> **Expect:** Sums per department from the rows and calculates variance %.
> **Input:** Submit a variance note for CC400, driver was pulled-forward Q3 spend
> **Expect:** Triggers the Submit Variance Explanation skill and calls the tool.

13 Publish and Monitor

Click **Publish**, then enable the channels your users live in: Microsoft Teams, Microsoft 365 Copilot, a custom website embed, or other channels. Teams and M365 Copilot need tenant admin approval, so plan for that lead time. After publishing, open the **Monitor** tab to watch sessions, resolution and escalation outcomes, and quality trends over time, and to see where users drop off.

Try These Live

Sample queries to test your agent during the build-along.

> **Variance Review**
> Which cost centres are Over Budget, sorted by variance %? · What is the largest favourable variance, and what is driving it?
>
> **Roll-ups**
> Show total budget, actual, and variance by department. · Compare full-year forecast vs current actual run-rate by department.
>
> **Governed Action**
> Submit a variance note for CC400 explaining a Q3 pull-forward.
> Notify FP&A that CC900 has a new mitigation plan.

How to Think About This Agent

This agent replaces	With
• Email chains chasing variance explanations • Re-cutting numbers for exec decks • Spreadsheet pivots refreshed by hand	✓ Variance reviewed and logged in one conversation ✓ Numbers grounded in finance data with citations ✓ Structured notes flowing straight to FP&A

Trusted, governed, enterprise AI. Built once, used everywhere.

Tip for real-world use

Configure row-level security on the knowledge file so each cost centre owner sees only their own rows; the agent follows that automatically. For the variance tool, require a manager approval step on amounts above a threshold.

You've built a Copilot Studio agent ✓

You now have an AI agent that can:

- Answer variance and forecast questions
- Capture structured variance notes
- Surface spend risk and savings
- Tighten the close cycle